

Instead of looking at cumulative totals or gross numbers such as total revenue and total number of customers, one looks at the performance of each group of customers that comes into contact with the product independently. Each group is called a cohort. The graph shows the conversion rates to IMVU of new customers who joined in each indicated month. Each conversion rate shows the percentage of customer who registered in that month who subsequently went on to take the indicated action. Thus, among all the customers who joined IMVU in February 2005, about 60 percent of them logged in to our product at least one time.

Managers with an enterprise sales background will recognize this funnel analysis as the traditional sales funnel that is used to manage prospects on their way to becoming customers. Lean Startups use it in product development, too. This technique is useful in many types of business, because every company depends for its survival on sequences of customer behavior called flows. Customer flows govern the interaction of customers with a company's products. They allow us to understand a business quantitatively and have much more predictive power than do traditional gross metrics.

If you look closely, you'll see that the graph shows some clear trends. Some product improvements are helping—a little. The percentage of new customers who go on to use the product at least five times has grown from less than 5 percent to almost 20 percent. Yet despite this fourfold increase, the percentage of new customers who pay money for IMVU is stuck at around 1 percent. Think about that for a moment. After months and months of work, thousands of individual improvements, focus groups, design sessions, and usability tests, the percentage of new customers who subsequently pay money is exactly the same as it was at the onset even though many more customers are getting a chance to try the product.

Thanks to the power of cohort analysis, we could not blame this failure on the legacy of previous customers who were resistant to change, external market conditions, or any other excuse. Each cohort represented an independent report card, and try as we might, we were getting straight C's. This helped us realize we had a